

Private Credit Screening Memo — Pennylane

Sector: Fintech | Retrospective screen of public financials (no live facility) | Prepared by: Muskan Chaudhary

Investment Grade

Composite score: **3.94 / 5.00**

Proceed with conditions

Six-Pillar Scorecard

Data coverage: 85% of pillar weight. Pillars without public data: Gross Margin. The composite score below is calculated only from scored pillars, reweighted to sum to 100%; it is not padded with assumptions for missing fields.

Pillar	Weight	Value	Score	Commentary
Revenue Growth (YoY)	20%	+156.1% YoY (sector median 55%)	5	Revenue moved from 1,529,789 to 3,918,048 (same currency/unit as entered).
Gross Margin	15%	Not publicly disclosed	N/A	No gross margin figure could be sourced publicly for this company; excluded from the composite rather than estimated.
Cash Runway	20%	26.9 months at current burn	5	Cash on hand of 48,291,281 against monthly net burn of 1,793,261.
Burn Multiple	20%	9.01x (sector median 1.60x)	1	Capital efficiency weaker than sector median.
Leverage / Debt Coverage	15%	200,000 existing debt outstanding.	5	Existing leverage assessed against EBITDA or revenue coverage.
Governance & Concentration	10%	4/5 (analyst input)	4	Founders hold 'ADP Fondateurs' preference shares that guarantee 51% of voting rights regardless of dilution (per the company's statuts, updated to May 2026), and a 2023 amendment added a share-transfer lock-up until 31 Dec 2032. This protects founder control and discourages early secondary sales -- a reasonable structure for a lender to note but not a red flag. The FY2022 accounts received an unqualified audit opinion from SEFAC with no going-concern qualification.

Scores are benchmarked against sector medians and top-quartile figures (see benchmarks.py and SOURCES.md); governance is analyst-assigned. Weighted contribution of each scored pillar to the composite: Revenue Growth (YoY) 1.00, Cash Runway 1.00, Burn Multiple 0.20, Leverage / Debt Coverage 0.75, Governance & Concentration 0.40.

Financial Snapshot

Current Revenue/ARR	EUR 3,918,048
Prior Period Revenue/ARR	EUR 1,529,789
Gross Margin	Not publicly disclosed
Monthly Net Burn	EUR 1,793,261

Cash on Hand	EUR 48,291,281
Net New Revenue/ARR (TTM)	EUR 2,388,259
Existing Debt	EUR 200,000

Key Risks & Notes

Scored from PennyLane's actual filed French statutory accounts (comptes sociaux) for FY2022, the company's own filing with the Greffe du Tribunal de Commerce de Cherbourg -- not press-reported figures. This is FY2022, i.e. roughly two years before the ~EUR60m/EUR115m ARR figures reported in the press for 2024/2025; the two data points are NOT on the same basis and are not combined in this scorecard. FY2022 chiffre d'affaires grew 156% (EUR1.53m to EUR3.92m) off a small base, funded by a large equity round that year (share premium rose from EUR33.4m to EUR85.0m) rather than by revenue -- which is exactly why the burn multiple pillar below scores poorly despite the strong growth and runway numbers: this was a heavy-investment growth-stage year, not a capital-efficient one. Later press reporting (Sifted, Maddyness, 2025-2026) describes the company as having reached near-profitability by 2025, which is a materially different risk profile from this FY2022 snapshot -- illustrating why a screening tool needs a dated, sourced snapshot rather than a vague 'current state' assumption.

Governance: Founders hold 'ADP Fondateurs' preference shares that guarantee 51% of voting rights regardless of dilution (per the company's statuts, updated to May 2026), and a 2023 amendment added a share-transfer lock-up until 31 Dec 2032. This protects founder control and discourages early secondary sales -- a reasonable structure for a lender to note but not a red flag. The FY2022 accounts received an unqualified audit opinion from SEFAC with no going-concern qualification.

Data notes: Gross margin is left blank because PennyLane's French GAAP statutory accounts (comptes sociaux) do not separately disclose a cost-of-revenue line distinct from operating expenses -- 'Autres achats et charges externes' (EUR14.4m) bundles R&D; subcontracting, marketing and overhead together, so no defensible COGS figure could be isolated. Monthly net burn (EUR1.79m/month) is derived by dividing the FY2022 operating result (resultat d'exploitation, EUR-21.52m) by 12 -- a proxy, since the filing does not include a cash flow statement. Cash on hand (EUR48,291,281) and existing debt (EUR200,000, a bank loan unchanged between FY2021 and FY2022) are both taken directly from the balance sheet (bilan) as filed. Source: PENNYLANE - Comptes sociaux 2022, filed 28/10/2024, provided directly by the user.

This memo is a decision-support output of a rules-based screening model. It is not a substitute for full due diligence, legal review, or committee judgement.